An ACA operator at an earnings inflection— with reserve risk still in the numbers

Oscar’s 2026 results show materially better reported underwriting and lower expense ratios. The long case is that scale and pricing hold after favorable prior-period items fade.

THE LONG

Pricing reset and member scale may support a durable improvement in unit economics.

THE CHECK

H1 op. earnings included $232m favorable prior-period development.

THE CATALYST

Q3 on 5 Nov. and 2027 enrollment test the quality of growth.

REFERENCE SNAPSHOT

Share price	**$33.36**
Equity value	**~$10.3bn**
Effectuated members (Jun-26)	**2.963m**
Q2-26 revenue	**$4.88bn**

2029 goals (management)

>20% CAGR | 5–7% margin | >$4 EPS

Information cutoff: 12 October 2026. Company targets are forward-looking; all valuation cases are illustrative and probability-unweighted.

Investment summary: underwriting and scale are improving; earnings quality is the debate

The long case is attractive only if 2026's reported progress persists after reserve development normalizes.

THESIS	EVIDENCE	WHAT IS NOT YET PROVEN
Underwriting reset	Q2 MLR 79.2% reported (~82% excluding prior-period development); SG&A ratio 14.2%, down from 18.7% y/y.	Whether core claims performance holds through 2027 renewals and later CMS true-ups.
Scale and channels	2.963m effectuated members at June 30 (+46% y/y); CHOICE membership roughly doubled y/y.	Paid retention, member mix and profitability of the incremental lives.
EPS optionality	Management's 2029 goals: >20% revenue CAGR, 5–7% operating margin and >$4 diluted EPS.	The earnings ramp is management's target—not current earnings or consensus.

VALUATION FRAME

$33.36

14.8× FY27 EPS threshold of $2.25
8.3× 2029 EPS goal of $4 (undiscounted)

LONG CASE / RISK

Illustrative $44 present value at $4 EPS × 15×, discounted at 10%. A $2 EPS / 10× miss case is ~$15.

NEAR-TERM CONSTRAINT

H1 operating earnings of $1.093bn already exceed the $600–$800m FY26 outlook. The implied H2 result is a $293–$493m operating loss; the thesis is not a straight-line annualization of H1.

Sources: Oscar Q2/H1 2026 results and 10-Q; Sep. 16 Investor Day materials; Yahoo quote snapshot. Targets and calculations labeled.

Q2 operating metrics improved sharply year over year

The move is visible in revenue, reported MLR, SG&A and operating income; one-off development remains material.

Revenue ($bn)



Medical loss ratio (%)



SG&A ratio (%)



Operating income ($m)



Q2 2025 Q2 2026

Read-through MLR improved 11.9 points and SG&A fell 4.5 points y/y. Q2 included $164m favorable prior-period development (~42% of operating income); management put MLR at roughly 82% excluding prior-period development.

Source: Oscar Q2 2026 results release and Aug. 6 earnings-call transcript. Reported Q2 figures; management's ex-development estimate is approximate.

H1 earnings cannot be annualized: the FY26 outlook implies an H2 loss

This guidance math is the central near-term risk to the long thesis—not an alternative forecast.

OPERATING EARNINGS BRIDGE ($m)

H1 2026 reported Reported actual	**1,093**	
FY2026 company outlook $600m–$800m range	**700**	midpoint
Implied H2 2026 $(493)m to $(293)m	**-393**	

The $393m midpoint H2 operating loss is the arithmetic needed to reconcile H1 with guidance.

EARNINGS-QUALITY FACTS

- H1 favorable prior-period development: $232m.
- Q2's $164m favorable development was about 42% of Q2 operating income.
- CFO indicated Q2 MLR was roughly 82% excluding prior-period development.
- FY26 guidance: revenue $18.7–$19.0bn; MLR 81–82%; SG&A 15.6–16.1%; operating earnings $600–$800m.

Underwrite the underlying 2027 claims trend; do not extrapolate reported H1 earnings.

Source: Oscar Q2/H1 2026 results and Sep. 16 Investor Day guidance. Implied H2 = FY26 guidance less reported H1; midpoint shown for reference.

Core ACA remains the thesis; CHOICE and Lucie are optionality

Separate the reported insurance engine from the distribution targets that have not yet translated into material earnings.

CHANNEL	CURRENT EVIDENCE	MANAGEMENT TARGETS	UNDERWRITING TREATMENT
Oscar Insurance (core)	2.963m effectuated members at Jun-26; +46% y/y. FY26 revenue outlook $18.7–$19.0bn.	>18% national ACA share; 400–600 additional counties by 2029.	Base thesis. Needs stable paid membership and underlying MLR through renewal.
CHOICE / ICHRA	Management reported roughly 2× y/y membership; 250+ off-exchange products planned for 2027.	3× CHOICE market share by 2029.	Growth channel, but validate employer adoption, paid effectuation and risk mix.
Lucie Marketplace	Connects consumers and brokers with 70+ carriers; CMS-approved EDE platform.	~2.6m ACA / supplemental policies and 28k+ active brokers by 2029.	Option value only. Policy and broker targets are not current revenue or earnings.

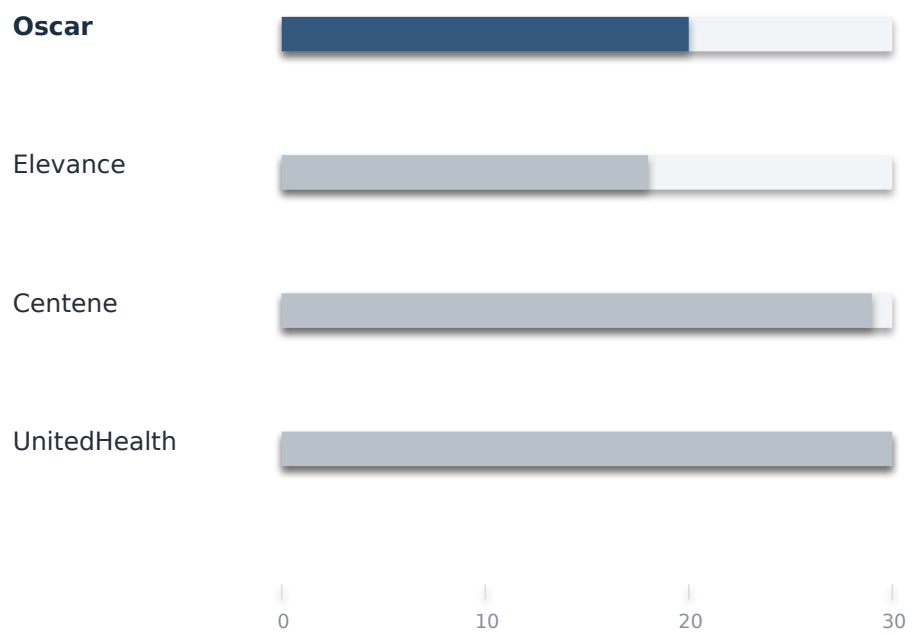
VALUATION DISCIPLINE FY2025 ‘other revenue’ was $28.6m. Do not apply a software multiple to +Oscar or Lucie until external revenue, conversion and margins are disclosed at scale.

Source: Oscar Q2 release, FY2025 10-K and Sep. 16 Investor Day fact sheet. Long-term policy / broker objectives are company targets, not forecasts.

Oscar is gaining scale in a market where the established competitors remain larger

State count indicates footprint, not county-level availability, enrollment or market share.

ACA MARKETPLACE FOOTPRINT (STATES)



2026 marketplace participation; footprint breadth is only a rough scale proxy.

2027 MARKET SETUP

11 exits / 6 entries	KFF tracker for 2027; Cigna is exiting ACA in 11 states.
~19m → ~23m	Oscar's estimate of ACA market lives, 2026 to 2029; management view.
>18% share	Oscar's stated 2029 national ACA share target; not an achieved share.

INTERPRETATION

Exits can transfer members, but also signal poor market economics. Rate increases may aid pricing adequacy while worsening affordability and retention.

Sources: KFF 2026 Marketplace participation and 2027 exit tracker; Oscar Investor Day. The 2026–29 market-size figures are management estimates.

The next catalysts are close-dated and measurable

Focus on underlying claims and effectuated membership rather than plan selections or product announcements.

WHEN	EVENT	BULL CONFIRMATION	WHAT WOULD DISAPPOINT
5 Nov 2026	**Q3 results**	Underlying MLR near guidance; no adverse risk-adjustment surprise; FY26 outlook maintained.	Reported MLR relies on further favorable development; guidance cut.
1 Nov 2026–15 Jan 2027	**2027 Open Enrollment**	Paid/effectuated member retention; mix remains profitable after rate changes.	Selections fail to effectuate; churn or risk mix worsens.
FY26 close	**Full-year results**	Operating earnings within $600–$800m outlook; H2 seasonality behaves as expected.	Shortfall vs. guide or H2 loss materially worse than implied.
2027 plan year	**CHOICE / Lucie**	Active brokers, converted policies and employer/member retention disclosed.	Announcements do not convert to paid policies or monetized revenue.

MONITOR EACH PRINT **MLR ex-PPD | net risk-adjustment payable / premium | paid member count | FY26 operating earnings guide | CHOICE / Lucie conversion**

Sources: Oscar Oct. 12 Q3 earnings notice; CMS / HealthCare.gov 2027 OEP dates; Oscar Sep. 16 Investor Day targets.

At $33.36, the long works if the earnings target is real—not because OSCR is software

Reference market data as of 12 October 2026; management objectives and vendor revenue estimates are not guaranteed outcomes.

RELATIVE VALUATION

Ticker	P/S TTM	P/S FY27E	Q2 rev. y/y
OSCR	**0.67×**	**0.50×**	**70.4%**
CNC	0.16×	0.17×	9.9%
UNH	0.75×	0.73×	0.4%

OSCR trades between Centene and UHG on trailing sales, with much faster Q2 growth. P/S uses market cap ÷ revenue; insurance mix makes peer comparisons imperfect.

14.8× Current price / management's >$2.25 FY27 EPS threshold

~8.3× current price / $4 2029 EPS goal (undiscounted)

FY27 P/S uses Yahoo analyst revenue estimate snapshot; potentially stale.

2029 PER-SHARE VALUE SENSITIVITY

EPS case	EPS × P/E	Terminal	PV / sh.	Return
Bear / miss	$2.00 × 10×	$20	**$14.7**	**−56%**
Partial	$3.00 × 12×	$36	**$26.4**	**−21%**
Management goal	$4.00 × 15×	$60	**$44.0**	**+32%**
Stretch	$4.50 × 18×	$81	**$59.4**	**+78%**

Base / management goal $4 EPS × 15× = $60 in 2029. Discounted 3.25 years at 10% = ~$44 today; ~20% annualized return if achieved.

No probabilities assigned. Values are sensitivities, not price targets; EPS scenarios are diluted per-share outcomes.

Sources: Yahoo quote snapshot; Macrotrends TTM revenue; Oscar Investor Day goals. FY27 analyst revenue estimate may be stale; see source notes.

Three risks define the long: accounting estimates, ACA concentration and competition

The mitigants are real, but none eliminates the need for reported proof.

RISK	BEAR CASE / EVIDENCE	LONG REBUTTAL	WHAT WOULD DISCONFIRM
1. Reserve / risk-adjustment	$4.85bn net risk-adjustment payable at Jun-26; H1 had $232m favorable prior-period development. Q2's $164m was ~42% of operating income.	Management's ex-development Q2 MLR was ~82%; pricing and cost actions may have reset the base.	Payable rises faster than premium; underlying MLR remains above the 81–82% FY26 range.
2. ACA / subsidy concentration	FY25 revenue was almost entirely premium revenue; ~$13.08bn of $14.03bn direct premiums came from CMS, largely through tax-credit payments. Members fell ~211k sequentially in Q2.	CHOICE / ICHRA and Lucie broaden distribution; ACA share may move to carriers with competitive rates.	Affordability drives healthy-member churn; new channels fail to replace core-market attrition.
3. Competition / moat	Centene and UHG participate in more states; Oscar reported no issued or pending patents as of FY25. Narrow local networks can be a constraint.	Digital workflows, local plan design and member service may support lower costs and retention; moat is execution-based.	Renewals, medical-cost trend or SG&A per member fail to improve versus scale competitors.

GUIDANCE CROSS-CHECK H1 operating earnings $1.093bn vs. FY26 guidance $600–$800m implies H2 losses of $293–$493m. The $4 EPS thesis depends on a substantial, sustained recovery—not H1 annualization.

Sources: Oscar 2025 10-K, Q2 2026 10-Q / results release and Investor Day. Concentration and risk-adjustment figures are company-filed or company-reported.

Positioning: starter long; add only after claims and renewal data confirm

The expected return is attractive in the management case, but the drawdown case argues against sizing as a proven compounder today.

WHY OWN IT

- Q2 revenue grew 70% y/y; member count reached 2.963m, up 46% y/y.
- Q2 reported MLR and SG&A improved materially, even after discounting for favorable development.
- Management's 2029 goals create significant EPS upside if pricing, retention and fixed-cost leverage persist.

WHY NOW

Q3 is scheduled for 5 Nov; 2027 Open Enrollment will then test paid member retention, not just gross sign-ups.

Base case: ~$44 PV / share | $33.36 reference price | +32% PV upside

POSITIONING AND RE-UNDERWRITING

INITIATE	Small / starter position ahead of Q3; high volatility and policy sensitivity argue against full size.
ADD	Only if underlying MLR and risk-adjustment accruals support the FY26 outlook and Q3 membership remains healthy.
DO NOT ADD	If guidance is cut, payable expands faster than premium, or 2027 paid retention disappoints.
ASYMMETRY	$2 EPS × 10× miss case: ~$14.7 PV (−56%). $4 EPS × 15× case: ~$44 PV (+32%). No probabilities assigned.

Investment framework based on public information available at the cutoff; illustrative valuation is not a price target or individualized advice.

Sources and model conventions

Company materials anchor results and targets; third-party market data is used only for dated valuation context.

COMPANY / REGULATORY

- Oscar Q2 / H1 2026 results release
- Oscar Q2 2026 Form 10-Q
- Oscar FY2025 Form 10-K
- Oscar 2026 Investor Day strategy
- Oscar 2026 Investor Day fact sheet
- Q2 2026 call transcript (ex-PPD MLR context)
- Oscar notice: Q3 results scheduled for Nov. 5

MARKET / THIRD PARTY

- Yahoo Finance: OSCR quote / market value
- Yahoo Finance: OSCR analyst estimates
- Macrotrends: OSCR trailing revenue
- KFF: 2026 Marketplace insurer participation
- KFF: 2027 Marketplace exits and entries
- CMS / HealthCare.gov: Open Enrollment dates
- KFF: 2027 proposed premium increases

MODEL: $33.36 reference price | 3.25 years to 2029 | 10% discount rate | no probability weighting | Yahoo FY27 sales estimate may be stale | management targets are not forecasts